

GREAT IDEAS GREAT MINDS

Nachiket Mor

Each citizen has to be given the **RIGHT TO SAVE** and the opportunity to invest. It's not rocket science. It's democracy.

SHEKHAR GHOSH



India adds more than six million mobile phone users every month, but fewer than 30 per cent of farmers take loans from formal sources, under 10 per cent of all households have insurance and a mere 1.6 per cent of wage earners invest in mutual funds. It has been obvious for several decades that access to basic financial services enhances welfare and that it is an essential service for subsistence and growth among low-income households. The unambiguous link between access to financial services and reduction of poverty in rural India has also been supported by academic research. Why then has the goal of financial inclusion proved so elusive?

Could it be the case that while there is a great deal of talk and hand-wringing all around, we are not really serious about this?

That we know what needs to be done but for some reason we are not keen to do it? Here is a set of ideas that can make a definitive change in this landscape. They are neither new nor bold, they have been well-tried elsewhere in the world and they are well within our capacity to carry out here and now. So, why have they not been implemented in India?

► Let there be more banks and bank branches. We continue to require licensing for all new bank branches and ATMs. We have rolled back on Local Area Banks, stopped awarding new bank licences and tightened licensing of Micro Finance Institutions and Non Banking Financial Companies (NBFCs), pinning our hopes on the efforts to revive cooperative banks and the government-owned commercial banks. While these efforts could add some value, we already know that they are not going to provide

Money master: Several companies are empowering the poor by providing financial services in a sustainable manner